trading through extreme chaos

a blueprint for navigating market panic



ROBOT JAMES

JAN 20, 2026 · PAID

much of my insufferable schtick is...

“you can get away with doing very simple things if you pick the right place to do them”

you can also get away with doing very simple things if you pick the right ***time*** to do them.

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when the proverbial excrement really hits the proverbial fan, a lot of shit starts dislocating in very clear and obvious ways.



. . .

this is due to forced trading.

people trading because they ***have to***, rather than because they want to.

trading that is entirely about necessity. nothing to do with price or value or predictions.

people forced to cut size because they are mandated to.

people forced to cut positions cos their risk manager is screaming at them.

responses to margin calls, or getting liquidated.

. . .

in an environment of extreme market chaos, a lot of forced trading happening at the same time on similar things.

a lot of people are getting caught with their pants down in similar positions, all at the same time.

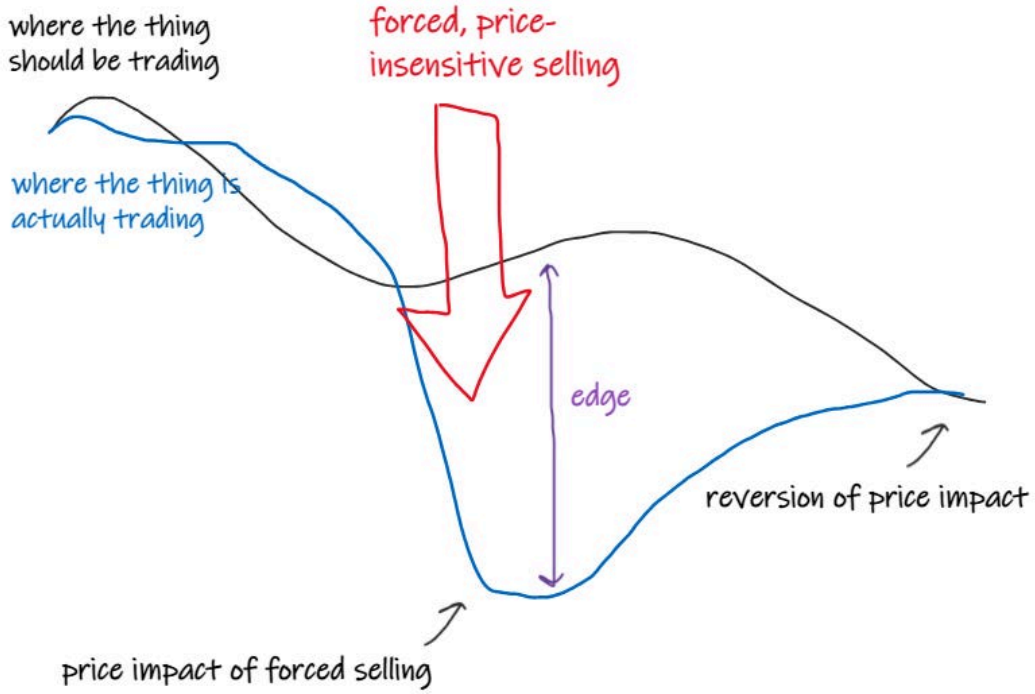
crucially, a lot of liquid stuff, which usually trades really tight, is getting absolutely hammered all at the same time.

> *why?*

because that stuff convenient and liquid - so you'd hit that stuff first if you had to get out of trouble too!

. . .

this means that you'll find a ton of opportunities for trades that look like this. . .



and they ain't hard to find.

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this is one of the best arguments for tail hedging, in my opinion.

the best opportunities for active trading are typically when risk positions have just lost a ton of money.

that's when you want the most capital to put to work.

but also when you're likely to have the least.

. . .

so here's a blueprint for dealing with real market chaos.

1. **be sure we're in extreme market chaos** and you're not just being a pussy

2. **cut risk positions**, like everyone else has to, so you can stay alive.

3. **panic buy protection if you need to**

4. **hunt for dislocations** to trade

. . .

1) is this actually extreme chaos?

we're talking about extreme panic here.

panic caused by:

a) something real and unexpected happening

b) massive fear and uncertainty around what it means

the lehman brothers collapse in 2008 and covid in 2020 are good examples of what i mean here.

a 5% selloff on some political bullshit is not.

i'm not talking about uncomfortable drawdowns here.

i'm talking about spoos going limit down multiple times a day.

so make sure something **bad and unexpected** has actually happened. and there's **real fear and uncertainty** around it.

make sure you're not just being a little bitch.

. . .

2) cut risk positions

next, understand that all your risk positions have got a lot bigger and riskier.

and that the going for active trading is likely to be good in this environment.

so **your mission is to not get rekt before you can gamble and make money.**

you sized your positions when everything was calm.

if everything is now moving twice as much, those positions are now twice as big as you wanted them to be.

you need to immediately hold your nose and eat shit and cut those positions.

probably by about half in this case.

don’t get hung up on the idea that it’s gonna be harder to get yourself out of the hole if you cut size.

immediately cut size.

unfortunately you are going to need to be a price insensitive panic seller too, at the start.

stay alive.

that is your immediate unfortunate priority.

this is not a time for precision or nuance.

you are bleeding.

you are performing meatball surgery on your risk book.

just do it. do it roughly. do it quickly. do it good enough.

3) panic buy protection if you need

tail hedges are gonna look real expensive to you now, but that’s mostly because you’re comparing them to an environment in which there was no chaos.

if it’s truly an environment of extended uncertainty and fear, you won’t regret buying them.

. . .

also… and i have done precisely zero analysis on this… i’ve also never regretted panic buying short dated rates futures (or calls on them) in an environment like this.

rates are gonna get cut pretty damn aggressively if the chaos ensues.

. . .

buying short dated vix futures can also be a good idea.

for a high profile product, vix futures and ETPs sure attract a lot of very dumb information-sensitive flow.

i'll write about this in detail at some point, but vix futures tend to trade very cheap (vs forward spx variance) when something truly chaotic first happens.

i suspect this is because there's so much dumb mechanical selling flow in the vix complex.

you *could* do the math *(i'll show you how one day!)*

or you could just panic lift the most liquid front vx future (or one of the ETPs) when you've confirmed that something serious and unexpected has happened and there is massive fear and uncertainty surrounding it.

for most people it's not a good use of your time to learn the math. just know that this tends to happen and be prepared to do the trade.

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4) hunt for dislocations

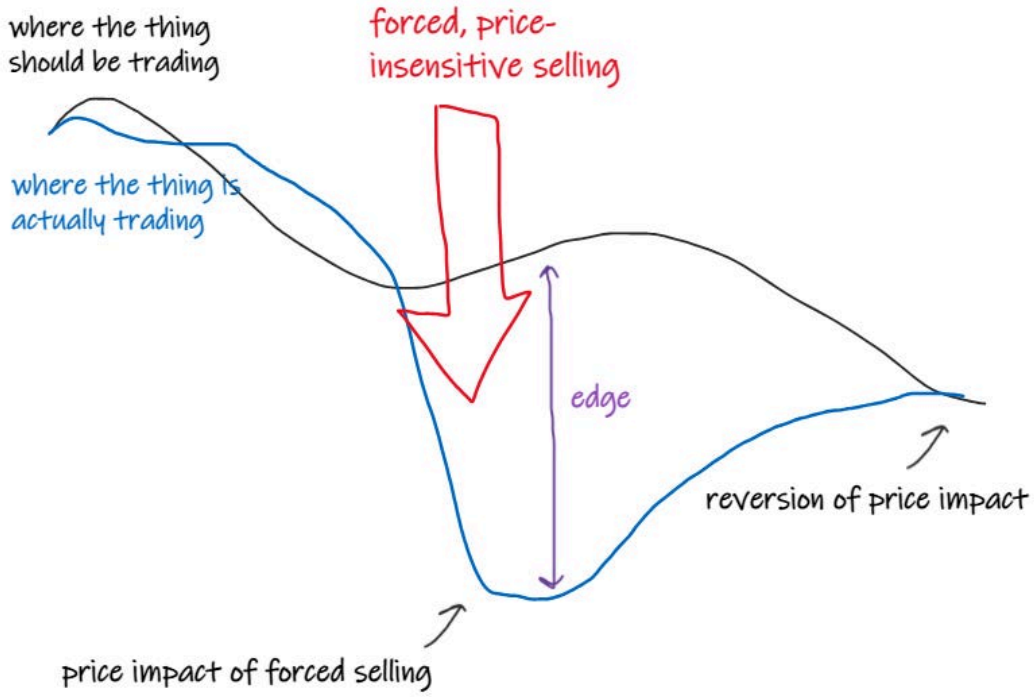
now that you've played defense, it's time to play attack.

it's time to look for opportunities amidst all the chaos.

again, this is not nuanced or subtle. this involves simple observation, not complex prediction.

you are looking for very obvious dislocations in the kinds of things that are likely to get hammered.

you are reading prospectuses and working out what is likely to get hammered next.



. . .

for example, in march 2020, we were in an environment of massive chaos and uncertainty, triggered by a totally unexpected event (covid)

when the gravity of the situation dawned on the market, everything started moving like crazy.

traders were forced to massively cut positions.

and, before traders try to work out of smaller less liquid positions, they hit anything big and liquid first.

this happened with tlt, the massively liquid US treasuries etf.

on march 11, 2020, tlt traded at an approximately 5% discount to the value of the assets it held.

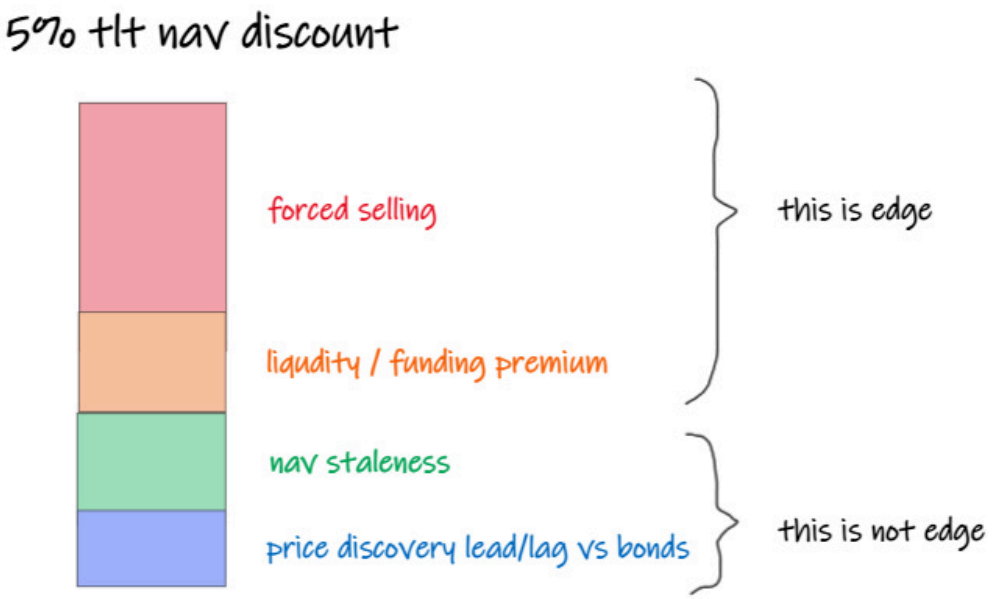
part of this was probably justified.

tlt is continuously traded and liquid and easier and more convenient to hit than long duration treasuries.

so we can believe that the etf might lead price and the valuation of the treasuries it holds might be more unreliable than usual.

still, 5% was really big for a massively liquid product on a liquid underlier.

the edge in buying tlt might not have been 5% but it was maybe at least 3%.



you didn't need to understand details.

the ape trade of buying a big discount in a liquid wrapper on a liquid underlier worked.

and this is usually the case, if you stay to the heuristics of only doing this kind of thing:

- in an environment of genuine fear and uncertainty, triggered by a serious unanticipated event
- on etfs with very liquid underliers
    - *don't try this on weird stuff like active etfs or less liquid stuff like small cap stocks or junk bonds!*

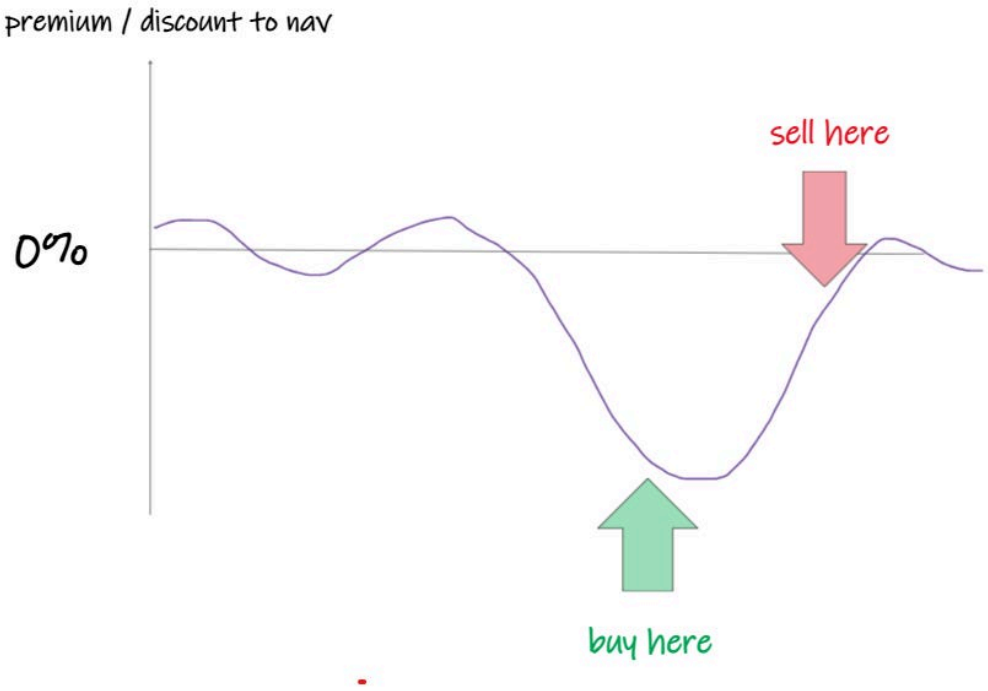
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the trade itself here is simple.

you buy the etf when there's a significant discount to net asset value (nav) and you hold it until there is no significant discount anymore.



you can usually chart the discount/premium to nav of an etf using websites like ycharts.

or you can look it up on the etf issuers website. for example, you'd look on the ishares website for tlt.

. . .

> *shouldn't i hedge this trade? just because it's trading at a discount, that doesn't mean it won't go down more than that and fail to make money?*

that's right.

and you could hedge it by selling short something similar that is less discounted *(like a greater quantity of the ief etf)* - but that's expensive and i don't think it's worth it.

you add costs doing that. and you add extra risk of the trade working anyway, ief is probably trading a too cheap too if tlt is.

i wouldn’t bother hedging and i don’t think you should either.

you’re a trader.

sometimes good trades are not going to work due to bad luck.

(and sometimes your shitty ones are going to make money due to good luck too!)

. . .

in extreme chaos, there will be many trades you can do that look like this in etfs and close end funds (cefs.)

there are also *only slightly* tricker trades that you can do in the assets that these funds hold. and you can do these too if you’re prepared to pour through prospectuses. *(or we’ll do it together, next time we find ourselves on one of these environments.)*

and all the basic white girl kwant stuff that tends to work only in immature or shitbag markets most of the time, actually works in more liquid markets too in a time of extreme chaos.

we’ll go through how you’d implement these trades next.

we’ll over:

- trading etf discounts
- trading cef discounts
- reading prospectuses and index methodology documents and trading forced selling in the underlying assets these funds have to sell at any price
- simple pair trades
- simple futures spreads

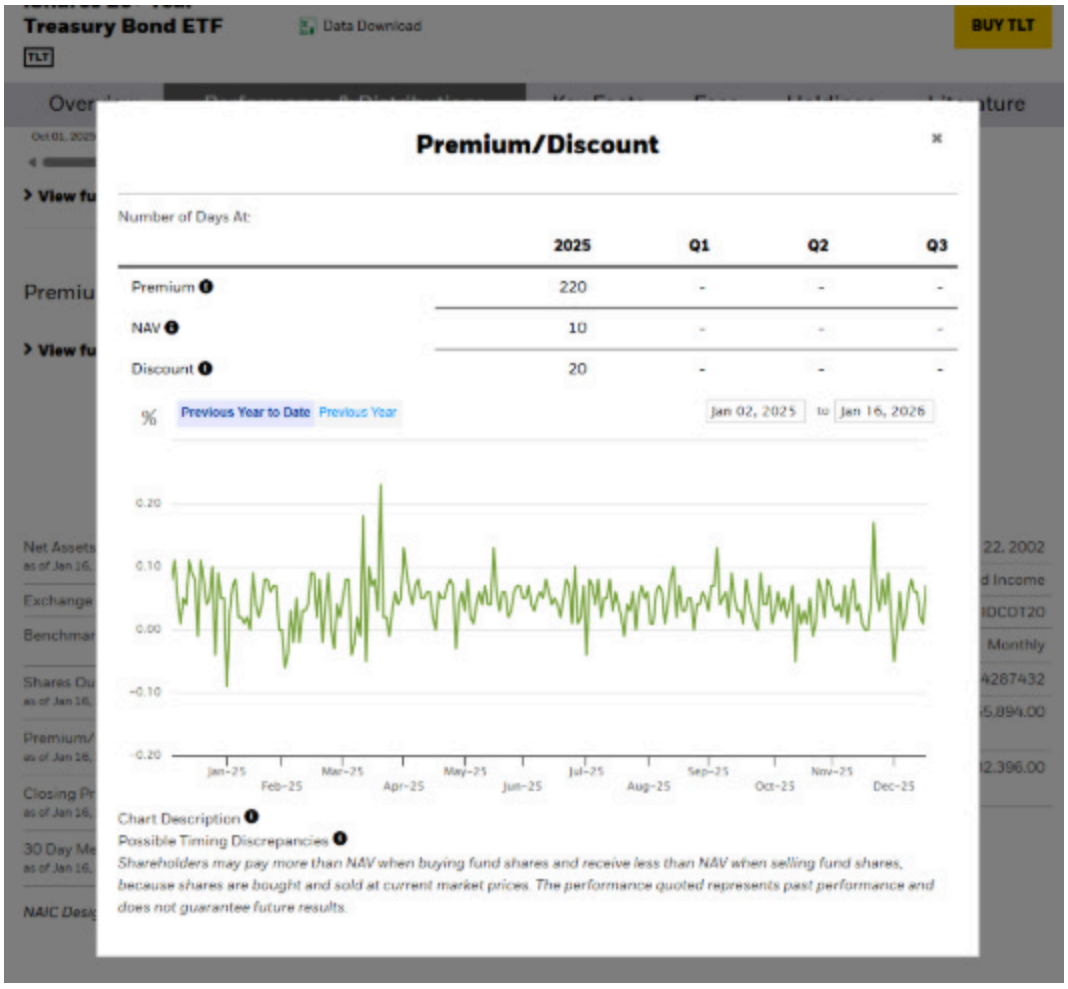
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etfs trading at a discount

hunting for etfs trading at a discount is straightforward, albeit somewhat time consuming.

the premium/discount that an etf trades relative to its net asset value (nav) is typically available on the etf issuers website.

for example, for tlt, it's on the ishares website.

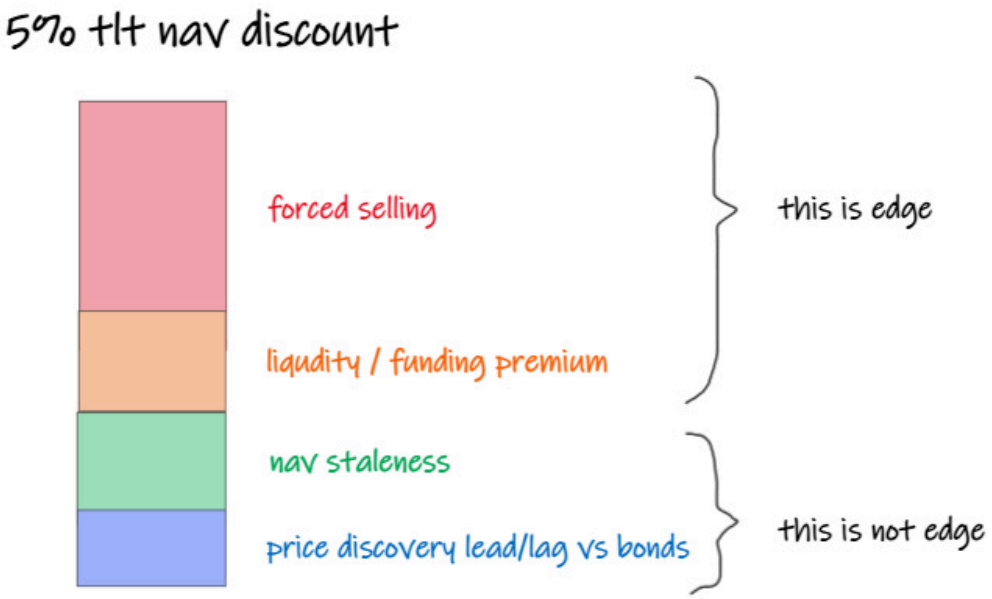


generally, you want to restrict your search to big etfs on liquid stuff.

and you need risk assets to be getting hammered to make the search worth your time.

basically, you want the conditions in which you:

- maximize the chances that the discount is "edge" *(forced selling, liquidity / funding premium)*
- minimize the chances that the discount is "not edge" *(nav staleness or lead/lag effects due to an illiquid or hard-to-value underlier)*



the only heuristics you really need is:

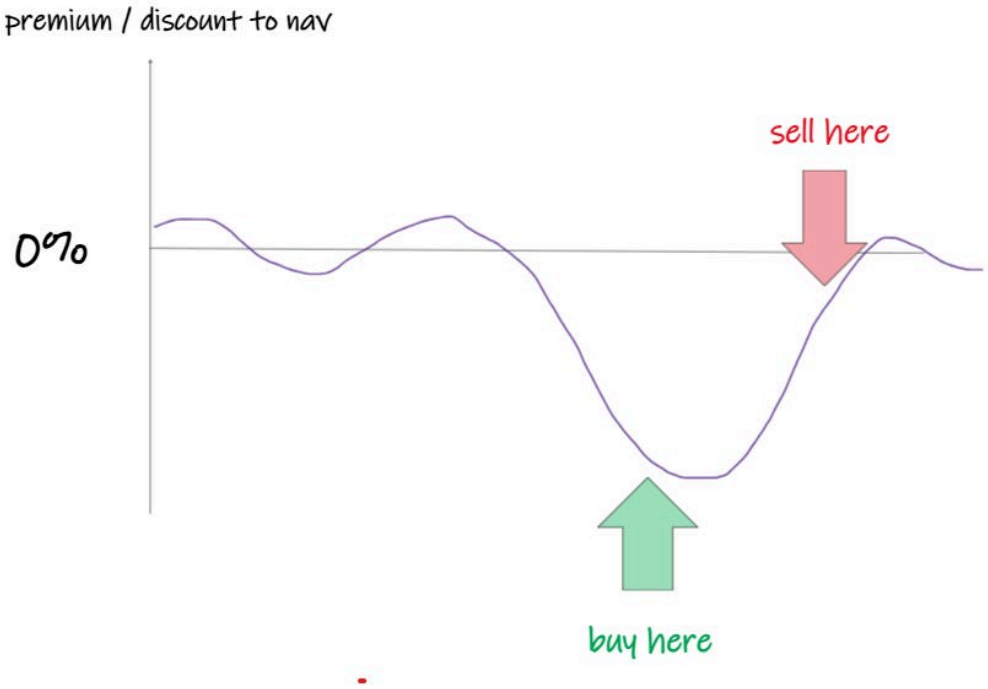
- only try to do the trade after a completely unanticipated market shock, in an environment of extreme fear and uncertainty
- only do it in etfs in very liquid stuff *(large cap stocks, government bonds, liquid corporate bonds - not shitcap stuff, junk, commodities, active strategies or junk bonds)*
- only do it when the discount is historically massive.

if you do it indiscriminately, you're going to be on the wrong side of a lot of trades where the etf is genuinely leading the assets that it holds.

so stick to these simple heuristics.

the trade is simple:

- you buy the etf when there's a significant discount to net asset value (nav)
- you hold it until there is no significant discount anymore
- you close it in full when there is no significant discount anymore.



. . .

cefs trading at a discount

we can do similar trades in close end funds.

close end funds are arguably a better place to do these trades because, unlike etfs, there is no arbitrage mechanism to keep them trading tight to the value of their assets.

. . .

certain people *(they're called authorised participants)* can create etf shares by buying the basket of assets the etf holds and receiving new shares of the etf in exchange.

if the etf is trading rich they can make money from this. they buy the underlying assets cheap and they they give them to the etf issuer. they get rich etf shares given to them in return which they can sell in the open market for a profit.

it works the other way around too. . .

if the etf is trading cheap, they can buy shares of the etf from the issuer at the net asset value of their assets, and then sell the components on the market at a higher price for a profit.

this is a win win situation for the etf issuer and the trading firm.

- the etf issuer gets a product that usually trades tight to its net asset value.
- the trading firm makes money from making it that way.

. . .

close end funds have no mechanism like this.

they just trade like stocks. there is no way to create one by buying the bits. there is no way to buy one to buy the shares at par and then make money selling the bits.

so they tend to trade much sloppier.

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this means that you'll find many more juicy opportunities to do this trade in close end funds (cefs) than you will in etfs.

it also means that these trades will tend to converge slower.

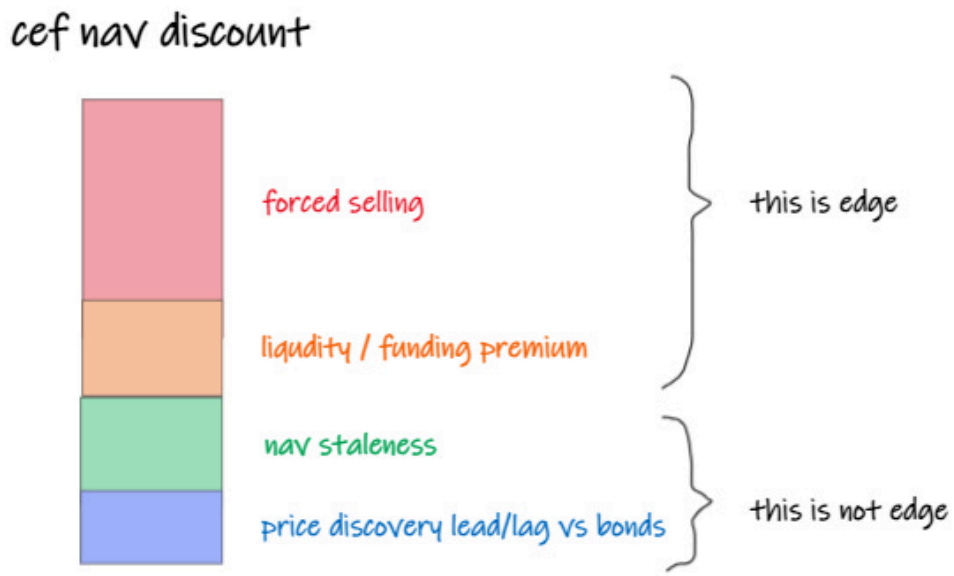
the tlt discount reverted in a few days. but you're going to need to take more risk and hold longer in these trades.

the best tool to do this is the screener on cefconnect.com (you now need to register to use it.)

once again, exactly the same heuristics apply.

you want the conditions in which you:

- maximize the chances that the discount is "edge" *(forced selling, liquidity / funding premium)*
- minimize the chances that the discount is "not edge" *(nav stateleness or lead/lag effects due to an illiquid or hard-to-value underlier)*



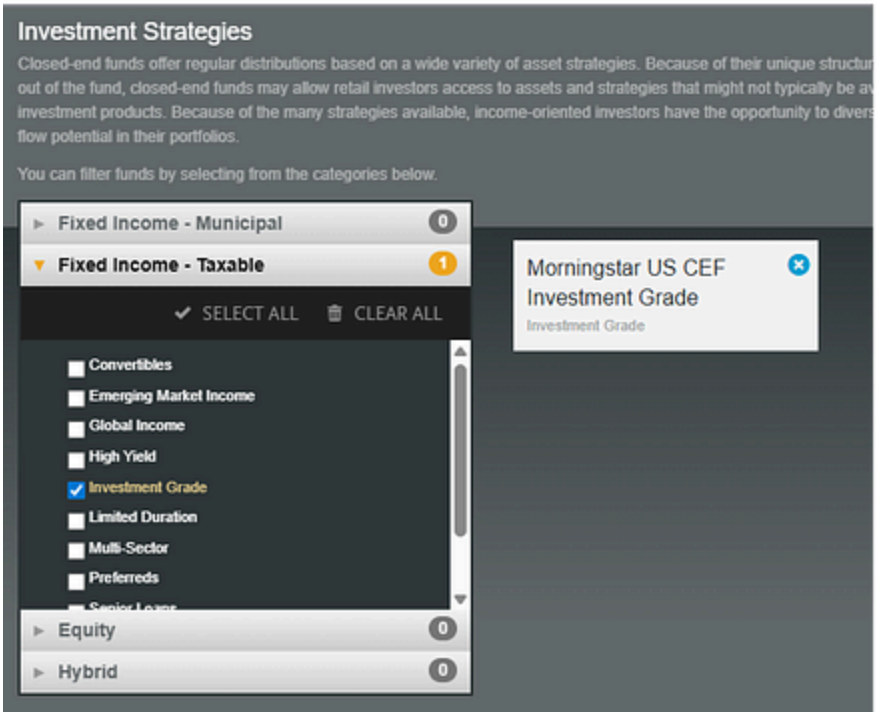
the only heuristics you need are:

- only try to do the trade after a completely unanticipated market shock, in an environment of extreme fear and uncertainty
- only do it in close end funds in very liquid stuff *(large cap stocks, government bonds, liquid corporate bonds - not shitcap stuff, junk, commodities, active strategies or junk bonds)*
- only do it when the discount is historically massive.

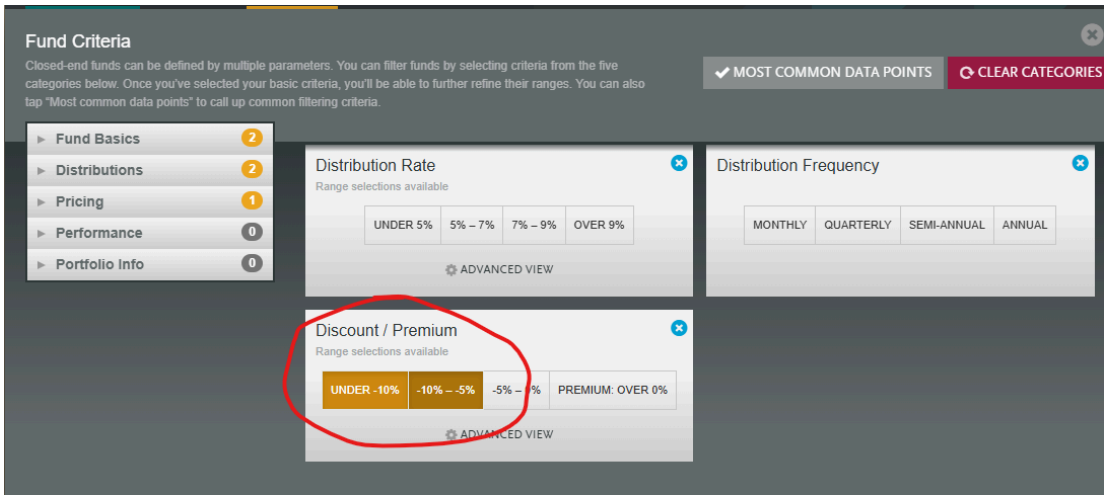
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in the screener you want to restrict your search to high liquid strategies:

- investment grade bonds
- government bonds
- us equities



and you want to restrict your search to funds trading at a large premium



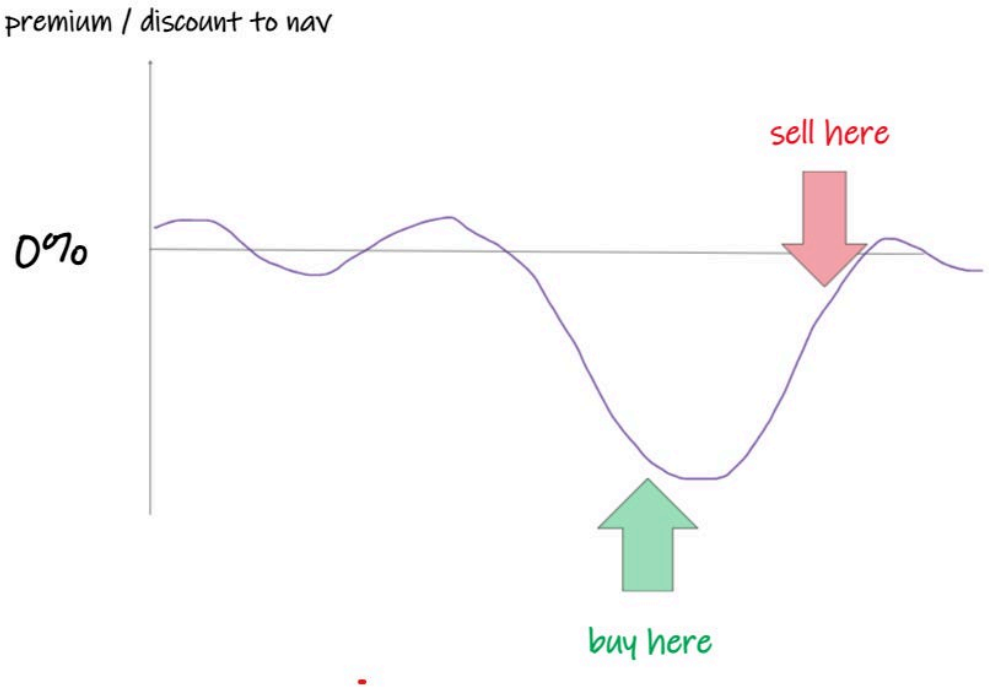
then you want to have a look at each of the fund and make sure it's not:

- actually holding weird illiquid shit

- turning over a lot.

for the funds where this is not the case, the trade is exactly the same.

- you buy the etf when there's a significant discount to net asset value (nav)
- you hold it until there is no significant discount anymore *(expect this to take longer than our tlt example)*
- you close it in full when there's no significant discount anymore.



. . .

reading prospectuses to find trades in the underlying assets

an environment of extreme chaos is a great time to take some stimulants and pour through fund prospectuses.

these funds that we have trading often have very mechanical rules about what they can hold and the maximum exposures they can have.

for example, during march 2020, i took some modafinil and read a bunch of prospectuses, SAIs and index methodology documents.

and i learned that many mortgage reit funds *(reit efs and index-tracking close end funds)* had significant constraints that were going to be triggered the following day.

i learned that they were not permitted to hold reits that:

- had declined below a minimum market cap
- fell out of certain liquidity thresholds
- failed volatility or trading suspension criteria.

and they had rules that demanded them to trade the following day *(rather than wait until the end of the month to rebalance)* during extreme market stress.

so, when mreit prices collapsed with the rest of the market:

- a bunch of reits violated these rules
- the funds tracking those indices had to close those positions, regardless of price.

forced, time-constrained, price-insensitive selling pressure is ideal situation we are looking for with these trades.

. . .

some levered and income-focused funds (mostly cefs) also had:

- hard position-level drawdown limits
- volatility-based exposure caps

- stop-loss mandates *(framed as "risk control")*

basically, this meant that they had to:

- puke any position that went down more than 8-12% over a short time horizon
- de-risk across the board on volatility spikes.

once triggered, the selling was non-discretionary. they had to trade totally forced.

this is an ideal situation for dickhead traders like us.

. . .

furthermore, mortgage reits are leveraged instruments holding MBS funded via repo.

in march 2020 it was absolute chaos and:

- repo haircuts on agency and non agency MBS absolutely exploded
- lenders (and indeed everyone that could) demanded cash margin immediately
- mortgage reits were forced to dump their assets on the market or issue equity at fire sale prices.

this meant that funds that held mreits faced:

- price collapses
- nav drawdowns
- **forced selling cascades.**

there were extremely profitable trades due to this - both in the funds themselves and the mreit stocks they held.

. . .

the funds hit the hardest where those which had:

- high leverage
- exposure to **non-agency or credit-sensitive MBS**
- thin equity buffers

through a bunch of googling i came up with names like the following:

- AGNC
- NLY
- TWO
- IVR
- MITT
- NYMT
- CHMI

(now our job is so much easier. we can ask the ai to do this work for us!)

several of these funds lost 40-70% peak-to-trough and then later recovered substantially once liquidity had normalized.

those trades look just like the ones i've already described.

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but the best trades were in the actual mreit assets these funds needed to sell.

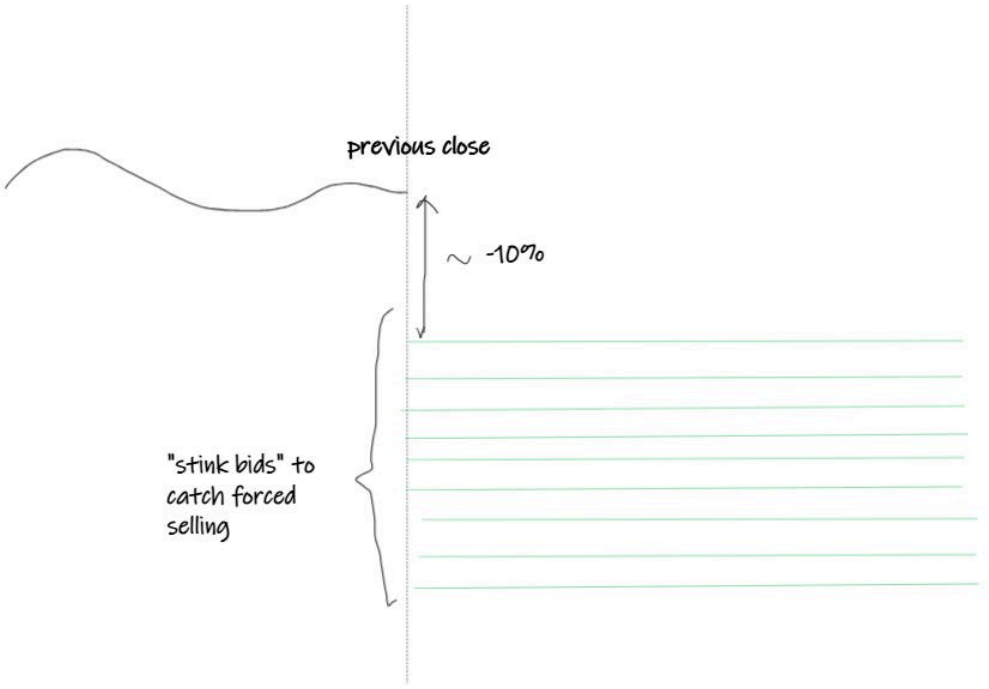
the job was simple, albeit boring and time consuming.

- go through the prospectuses / sais and index methodology documents for the funds you've identified as being hardest hit (see above)
- identify the mreit stocks that are going to need to be sold the next day
- place "stink bids" before the market opened, in order to provide liquidity to the forced selling that will occur
- close out the trades on the market close.

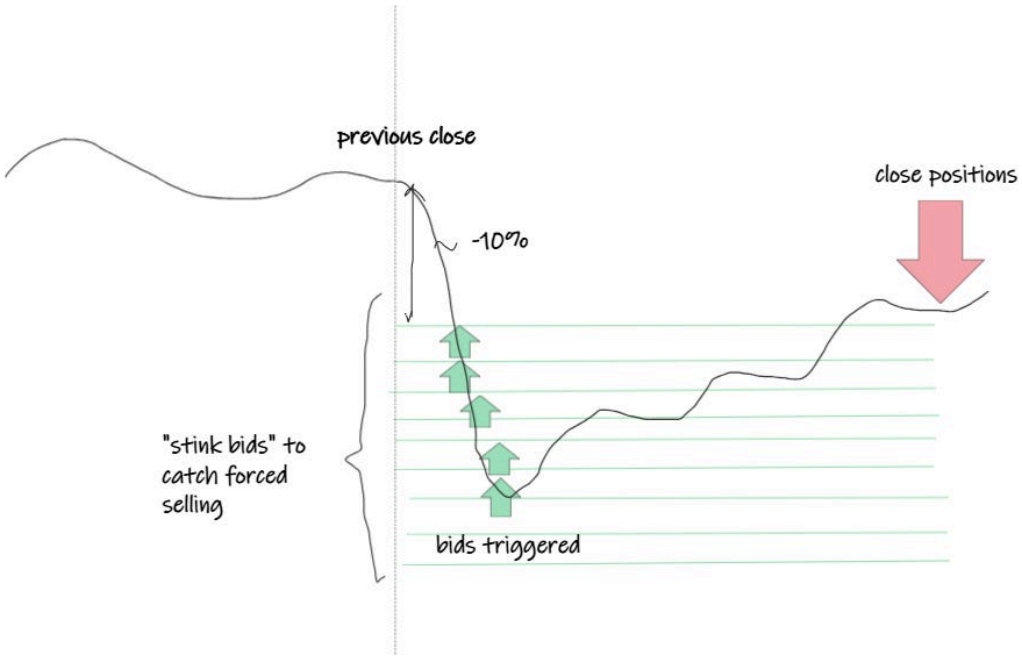
you *could* do a bunch of work to try to estimate the selling pressure and work out what the market impact might be.

i didn't bother though.

i just layered a bunch of limit buys in the order book for all likely-to-be-affected assets.



what tended to happen, in nearly all cases, was something like this.



this was a wonderful set of trades.

and there are many more like it available to you in market chaos if you are prepared to do the work and read some boring documents.

we'll do this together next time we find ourselves in an environment like this.

. . .

basic white girl kwant stuff

all the basic bitch kwant stuff tends to work really well in an environment of extreme fear and uncertainty.

the pairs trades that i discussed here work really well:

pairs trading for dickheads

ROBOT JAMES · DECEMBER 15, 2025



good day

Read full story

you can even get away with spreading very similar equity and bond index futures against each other.

the very serious kwant people don't want you to know this is true. but it is. i promise you.

. . .

summary

in an environment of extreme chaos, there are many simple trades available to you.

this requires you to play defense first, then play attack.

but you need to be prepared.

read this. read it again. think about how you'll implement everything when it happens.

you want a plan.

you don't want to be making it up as you go along.

and, if we find ourselves in an environment like this anytime soon, we'll do the work together.

. . .

i love you.

. . .

beep . . . boop.